



# INDIAN POLITY

## MONEY BILL VS FINANCIAL BILL

MODULE – 68



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# MONEY BILLS

The custody of the Consolidated Fund of India or the contingency fund of India, the payment of money into or the withdrawal of money from any such fund;

The appropriation of money out of the Consolidated Fund of India (CFI).

Declaration of any expenditure charged on the Consolidated Fund of India or increasing the amount of any such expenditure.

The regulation of the borrowing of money by the Union govt.

The imposition, abolition, remission, alteration or regulation of any tax.

Article 110 of the Constitution deals with the **definition of money bills**. It states that a bill is deemed to be a money bill if it contains '**only**' **provisions** dealing with all or any of the following matters:

The receipt of money on account of the CFI or the public account of India or the custody or issue of such money, or the audit of the accounts of the Union or of a state

WHAT DOES ARTICLE 110 SAY?

## MONEY BILL OR NOT??

- 1 However, a bill is not to be deemed to be a money bill by reason only that it provides for:
  1. the imposition of fines or other pecuniary penalties, or
  2. the demand or payment of fees for licenses or fees for services rendered;
  3. the imposition, abolition, remission, alteration or regulation of any tax by any local authority or body for local purposes.
- 2 If any question arises whether a bill is a money bill or not, the decision of the Speaker of the Lok Sabha is final.
- 3 His decision in this regard cannot be questioned in any court of law or in the either House of Parliament or even by the president.
- 4 When a money bill is transmitted to the Rajya Sabha for recommendation and presented to the president for assent, the **Speaker endorses it as a money bill.**

# PARLIAMENT

## MONEY BILLS

1

The Constitution lays down a special procedure for the passing of money bills in the Parliament.

2

A money bill can only be introduced in the Lok Sabha and **that too on the recommendation of the president.**

3

Every such bill is considered to be a govt bill and can be introduced only by a **minister.**

### PROCEDURE FOR PASSING MONEY BILL

4

After a money bill is passed by the Lok Sabha, it is transmitted to the Rajya Sabha for its consideration.

7

It must return the bill to the Lok Sabha within 14 days, with or without recommendations.

6

Rajya Sabha can only make the **recommendations.**

5

It cannot reject or amend a money bill.

# PARLIAMENT

## MONEY BILLS

### LOK SABHA CAN OVERRIDE RAJYA SABHA!

The Lok Sabha can either accept or reject all or any of the recommendations of the Rajya Sabha.

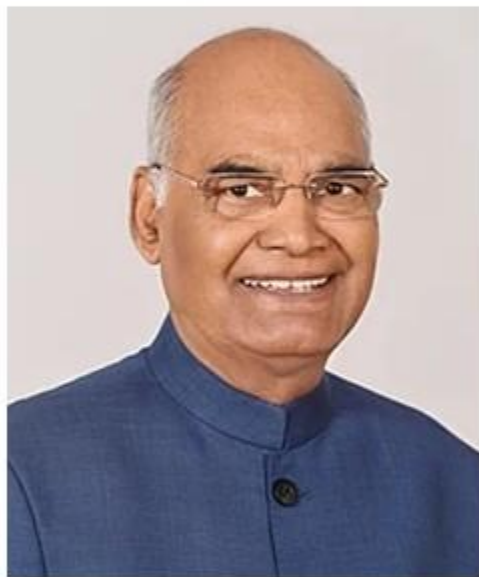
If the Lok Sabha accepts any recommendation, the bill is then deemed to have been passed by both the Houses in the modified form.

If the Lok Sabha does not accept any recommendation, the bill is then deemed to have passed by both the Houses in the form originally passed by the Lok Sabha without any change.

If the Rajya Sabha does not return the bill to the Lok Sabha within **14 days**, the bill is deemed to have been passed by both the Houses in the form originally passed by the Lok Sabha.

*Thus, the Lok Sabha has more powers than Rajya Sabha with regard to a money bill.*

## PRESIDENT'S ASSENT TO MONEY BILL



- 1 Both the Houses have equal powers with regard to an ordinary bill but not in the case of the money bill.
- 2 Finally, when a money bill is presented to the president, he may either give his assent to the bill or withhold his assent to the bill **but cannot return the bill for reconsideration of the Houses.**
- 3 Normally, **the president gives his assent to a money bill** as it is introduced in the Parliament with his prior permission.

| S.NO | ORDINARY BILL                                                                                                                     | MONEY BILL                                                                                                                                                                                                                                  |
|------|-----------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1    | It can be introduced either in the Lok Sabha or the Rajya Sabha.                                                                  | It can be introduced only in the Lok Sabha and not in the Rajya Sabha.                                                                                                                                                                      |
| 2    | It can be introduced either by a minister or by a private member.                                                                 | It can be introduced only by a minister.                                                                                                                                                                                                    |
| 3    | It is introduced without the recommendation of the president.                                                                     | It can be introduced only on the recommendation of the President.                                                                                                                                                                           |
| 4    | It can be amended or rejected by the Rajya Sabha.                                                                                 | <ul style="list-style-type: none"> <li>It cannot be amended or rejected by the Rajya Sabha.</li> <li>The Rajya Sabha should return the bill with or without recommendations, which may be accepted or rejected by the Lok Sabha.</li> </ul> |
| 5    | It can be detained by the Rajya Sabha for a maximum period of six months.                                                         | It can be detained by the Rajya Sabha for a maximum period of 14 days only.                                                                                                                                                                 |
| 6    | It does not require the certification of the Speaker when transmitted to the Rajya Sabha (if it has originated in the Lok Sabha). | It requires the certification of the Speaker when transmitted to the Rajya Sabha.                                                                                                                                                           |

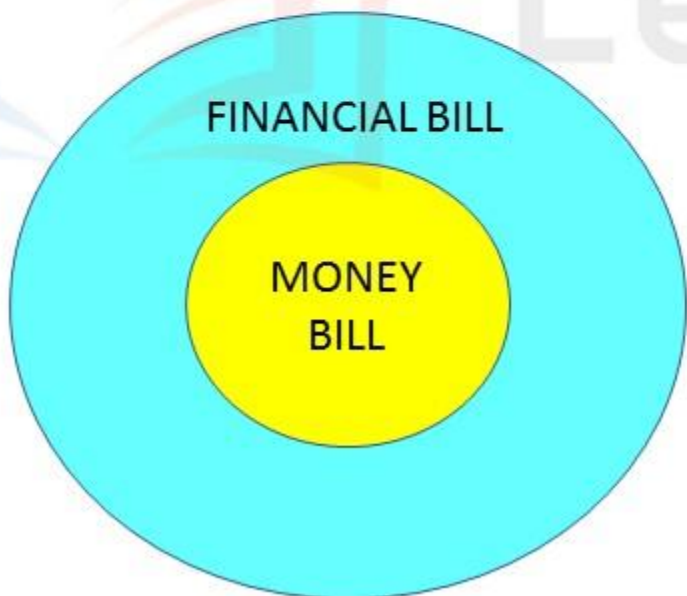
| S.NO | ORDINARY BILL                                                                                                                                                                                                                                                                                              | MONEY BILL                                                                                                                                                                                                                                                                                 |
|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 7    | <ul style="list-style-type: none"><li>It is sent for the President's assent only after being approved by both the Houses.</li><li>In case of a deadlock due to disagreement between the two Houses, a joint sitting of both the houses can be summoned by the president to resolve the deadlock.</li></ul> | <ul style="list-style-type: none"><li>It is sent for the President's assent even if it is approved by only Lok Sabha.</li><li>There is no chance of any disagreement between the two Houses and hence, there is no provision of joint sitting of both the Houses in this regard.</li></ul> |
| 8    | Its defeat in the Lok Sabha may lead to the resignation of the government (if it is introduced by a minister).                                                                                                                                                                                             | Its defeat in the Lok Sabha leads to the resignation of the government.                                                                                                                                                                                                                    |
| 9    | It can be rejected, approved, or returned for reconsideration by the President.                                                                                                                                                                                                                            | It can be rejected or approved but cannot be returned for reconsideration by the President.                                                                                                                                                                                                |

# PARLIAMENT

## FINANCIAL BILLS

**1** Financial bills are those bills that **deal with fiscal matters**, that is, revenue or expenditure.

**2** However, the Constitution uses the term 'financial bill' in a technical sense.



**3** Financial bills are of three kinds:

1. Money bills—Article 110
2. Financial bills (I)—Article 117 (1)
3. Financial bills (II)—Article 117 (3)

**4** Only those financial bills are money bills which contain exclusively those matters which are mentioned in Article 110 of the Constitution.

**5** The financial bills, on the other hand, have been dealt within Article 117 of the Constitution.

***Shortly speaking, only those financial bills are money bills which bear the certificate of the Speaker. Hence, all money bills are financial bills but all financial bills cannot be money bills.***

# PARLIAMENT

## FINANCIAL BILLS (I)

- 1 A financial bill (I) is a bill that contains not only any or all the matters mentioned in Article 110, but also other matters of general legislation.
- 2 In two respects, a financial bill (I) is similar to a money bill
  - a) both of them can be introduced only in the Lok Sabha and not in the Rajya Sabha, and
  - b) both of them can be introduced only on the recommendation of the president.
- 3 In all other respects, a financial bill (I) is governed by the same legislative procedure applicable to an ordinary bill.
- 4 Hence, it can be either rejected or amended by the Rajya Sabha (except that an amendment other than for reduction or abolition of a tax cannot be moved in either House without the recommendation of the president).
- 5 In case of a disagreement between the two Houses over such a bill, the president can summon a joint sitting of the two Houses to resolve the deadlock.
- 6 When the bill is presented to the President, he can either give his assent to the bill or withhold his assent to the bill or return the bill for reconsideration of the Houses.

# PARLIAMENT

## FINANCIAL BILLS (II)

- 1 This is a bill which, if enacted and brought into operation, would involve expenditure from the Consolidated Fund of India.
- 2 It is treated as **an ordinary bill** and in all respects, it is governed by the **same legislative procedure which is applicable to an ordinary bill**.
- 3 The only special feature of this bill is that it cannot be passed by either House of Parliament unless the **President has recommended to that House the consideration of the bill**.
- 4 In other words, the President's recommendation is **not a condition precedent to its introduction as in the case of Money bills**.
- 5 It can be either rejected or amended by either House of Parliament.
- 6 In case of a disagreement between the two Houses over such a bill, the President can **summon a joint sitting** of the two Houses to resolve the deadlock.
- 7 When the bill is presented to the President, he can either give his **assent** to the bill or **withhold** his assent to the bill or **return** the bill for reconsideration of the Houses.

## JOINT SITTING OF TWO HOUSES

**1** Joint sitting is an **extraordinary machinery** provided by the Constitution to resolve a deadlock between the two Houses over the passage of a bill.

**2** A **deadlock** is deemed to have taken place under any one of the following **three situations** after a bill has been passed by one House and transmitted to the other House.

If the bill is rejected by the other House;

If the Houses have finally disagreed as to the amendments to be made in the bill;

If more than 6 months have elapsed without the bill being passed by the other House.

*In the above three situations, the president can summon both the Houses to meet in a joint sitting for the purpose of deliberating and voting on the bill.*

## JOINT SITTING OF TWO HOUSES

- 3 It must be noted here that the provision of joint sitting is applicable to ordinary bills or financial bills only and **not to money bills or Constitutional amendment bills.**
- 4 In the case of a money bill, the Lok Sabha has overriding powers, while a Constitutional amendment bill must be passed by each House separately.
- 5 In reckoning the period of six months, no account can be taken of any period during which the other House (to which the bill has been sent) is prorogued or adjourned for more than four consecutive days.
- 6 If the bill (under dispute) has already lapsed due to the dissolution of the Lok Sabha, no joint sitting can be summoned.
- 7 But, the joint sitting can be held if the Lok Sabha is dissolved after the **President has notified his intention to summon such a sitting** (as the bill does not lapse in this case).
- 8 After the President notifies his intention to summon a joint sitting of the two Houses, none of the Houses can proceed further with the bill.

## JOINT SITTING OF TWO HOUSES

- 9 The **Speaker** of Lok Sabha presides over a joint sitting of the two Houses and the Deputy Speaker, in his absence.
- 10 If the **Deputy Speaker** is also absent from a joint sitting, the **Deputy Chairman** of Rajya Sabha presides.
- 11 It is clear that the **Chairman of Rajya Sabha does not preside** over a joint sitting as he is not a member of either House of Parliament.
- 12 The **quorum** to constitute a joint sitting is one-tenth of the total number of members of the two Houses.
- 13 The joint sitting is governed by **the Rules of Procedure of Lok Sabha** and not of Rajya Sabha.
- 14 If the bill in dispute is passed by a majority of the total number of members of both the Houses present and voting in the joint sitting, the bill is deemed to have been passed by both the Houses.

*Normally, the Lok Sabha with greater number wins the battle in a joint sitting.*

## JOINT SITTING OF TWO HOUSES



DOWRY PROHIBITION ACT

1961



SAY NO TO DOWRY ...



**15** The Constitution has specified that at a joint sitting, **new amendments to the bill cannot be proposed** except in two cases:

1. those amendments that have caused final disagreement between the Houses; and
2. those amendments that might have become necessary due to the delay in the passage of the bill.

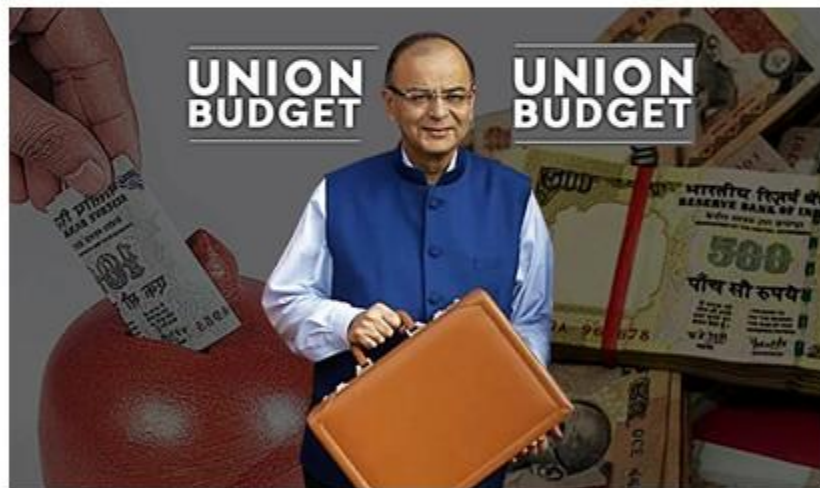
**16** The bills that have been passed at such joint sittings are:

- Dowry Prohibition Bill, 1960.
- Banking Service Commission (Repeal) Bill, 1977.
- Prevention of Terrorism Bill, 2002.



# PARLIAMENT

## BUDGET IN PARLIAMENT



- 1 The Constitution refers to the budget as the '**annual financial statement**'.
- 2 In other words, the term '**budget**' has nowhere been used in the Constitution.
- 3 It is the popular name for the 'annual financial statement' that has been dealt with in **Article 112** of the Constitution.
- 4 The budget is a statement of the **estimated receipts and expenditure of the Government of India in a financial year**, which begins on 1 April and ends on 31 March of the following year.

## BUDGET IN PARLIAMENT

# Budget



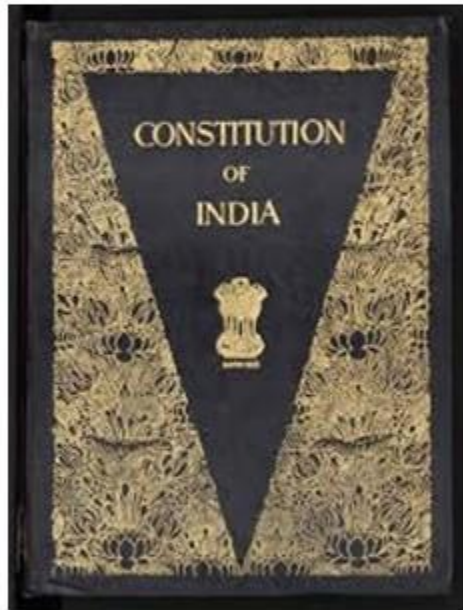
- 5 In addition to the **estimates of receipts and expenditure**, the budget contains certain other elements. Overall, the budget contains the following:
1. Estimates of **revenue** and capital receipts;
  2. **Ways and means** to raise the revenue;
  3. Estimates of **expenditure**;
  4. **Details of the actual receipts and expenditure** of the closing financial year and the reasons for any deficit or surplus in that year; and
  5. **Economic and financial policy** of the coming year, that is, taxation proposals, prospects of revenue, spending programme and introduction of new schemes/projects.

## CONSTITUTIONAL PROVISIONS

*The Constitution of India contains the following provisions with regard to the enactment of budget:*

- 1 The President shall in respect of every financial year cause to be laid before both the Houses of Parliament a **statement of estimated receipts and expenditure** of the Government of India for that year.
- 2 No **demand for a grant** shall be made except on the recommendation of the President.
- 3 No money shall be withdrawn from the **Consolidated Fund of India** except under appropriation made by law.
- 4 No money bill imposing tax shall be introduced in the Parliament except on the **recommendation of the President**, and such a bill shall not be introduced in the Rajya Sabha.
- 5 No tax shall be levied or collected except by **authority of law** (Article 265).
- 6 Parliament can **reduce or abolish a tax** but cannot increase it.

## CONSTITUTIONAL PROVISIONS



- 7 The Constitution has also defined the relative roles or position of both the Houses of Parliament with regard to the enactment of the budget in the following way:
- a) A money bill or finance bill dealing with taxation cannot be introduced in the Rajya Sabha—it must be introduced only in the **Lok Sabha**.
  - b) The **Rajya Sabha** has no power to vote on the demand for grants; it is the exclusive privilege of the Lok Sabha.
  - c) The Rajya Sabha should return the Money bill (or Finance bill) to the Lok Sabha **within fourteen days**. The Lok Sabha can either accept or reject the recommendations made by Rajya Sabha in this regard.

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